The use of public money in resolving a financial crisis runs the risk of moral hazard. Private persons may take bigger risks in the future, if they know that they will be bailed out by the exchequer. The intervention should involve features that are fairly painful to the shareholders and decision makers of a failed institution, to contain such moral hazard. As an example, the US Federal government's involvement in AIG was extremely painful, financially, for the erstwhile shareholders and managers of AIG. [3]

The word 'bailout' suggests that a favour is being done to the shareholders and managers of a failed financial firm. As emphasized above, the terms of the intervention can be structured in a way that imposes extreme financial pain upon the erstwhile shareholders and managers. The focus of the policy action should be to improve the results for the economy, and not to bail out one financial firm.

The urge to hit back

When financial stress unfolds, there is unhappiness in the air. The public is keen to ascribe blame upon some people, particularly when there are revelations of fraud, and when fiscal resources are spent. The phrase *privatization of profit and socialization of loss* gains much currency.

In one recent failed firm in India, six elements of government action were initiated—from the Serious Fraud Investigation Office (SFIO), the Ministry of Corporate Affairs, the National Financial Regulatory Authority (NFRA), the Institute of Chartered Accountants of India (ICAI), the Securities and Exchange Board of India (SEBI) and the Enforcement Directorate (ED).

> *My administration is the only thing between you and the pitchforks.*
>
> Barack Obama to bankers on 27 March 2009 [4]

Much as it may be satisfying to hit back, this may not be the best path from the viewpoint of the economy. The essence of a financial crisis is a surge in fear on the part of the decision makers of 2000 financial firms. Particularly